

**SUBSTITUTE FOR
SENATE BILL NO. 1140**

A bill to amend 1996 PA 381, entitled
"Brownfield redevelopment financing act,"
by amending section 2 (MCL 125.2652), as amended by 2026 PA 36.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 2. As used in this act:

2 (a) "Authority" means a brownfield redevelopment authority
3 created under this act.

4 (b) "Baseline environmental assessment" means that term as
5 defined in part 201 or 213.

6 (c) "Blighted" means property that meets any of the following
7 criteria as determined by the governing body:

8 (i) Has been declared a public nuisance in accordance with a
9 local housing, building, plumbing, fire, or other related code or



1 ordinance.

2 (ii) Is an attractive nuisance to children because of physical
3 condition, use, or occupancy.

4 (iii) Is a fire hazard or is otherwise dangerous to the safety
5 of persons or property.

6 (iv) Has had the utilities, plumbing, heating, or sewerage
7 permanently disconnected, destroyed, removed, or rendered
8 ineffective so that the property is unfit for its intended use.

9 (v) Is previously developed or tax reverted property owned by
10 a municipality or by this state. The sale, lease, or transfer of
11 previously developed or tax reverted property by a municipality or
12 this state after the property's inclusion in a brownfield plan does
13 not result in the loss to the property of the status as blighted
14 property for purposes of this act.

15 (vi) Is property owned by or under the control of a land bank
16 fast track authority, whether or not located within a qualified
17 local governmental unit. Property included within a brownfield plan
18 before the date it meets the requirements of this subdivision to be
19 eligible property is considered to become eligible property as of
20 the date the property is determined to have been or becomes
21 qualified as, or is combined with, other eligible property. The
22 sale, lease, or transfer of the property by a land bank fast track
23 authority after the property's inclusion in a brownfield plan does
24 not result in the loss to the property of the status as blighted
25 property for purposes of this act.

26 (vii) Has substantial buried subsurface demolition debris
27 present so that the property is unfit for its intended use.

28 (d) "Board" means the board that supervises and controls an
29 authority under section 5.



1 (e) "Brownfield plan" means a plan that meets the requirements
2 of sections 13 and 13b and is adopted under section 14.

3 (f) "Captured taxable value" means the amount in 1 year by
4 which the current taxable value of an eligible property subject to
5 a brownfield plan, including the taxable value or assessed value,
6 as appropriate, of the property for which specific taxes are paid
7 in lieu of property taxes, exceeds the initial taxable value of
8 that eligible property. The state tax commission shall prescribe
9 the method for calculating captured taxable value.

10 (g) "Chief executive officer" means the mayor of a city, the
11 village manager of a village, the township supervisor of a
12 township, or the county executive of a county or, if the county
13 does not have an elected county executive, the chairperson of the
14 county board of commissioners.

15 (h) "Combined brownfield plan" means a brownfield plan that
16 also includes the information necessary to submit the plan to the
17 department, Michigan state housing development authority, or
18 Michigan strategic fund under section 15(20).

19 (i) "Construction period tax capture revenues" means funds
20 equal to the amount of income tax levied and imposed in a calendar
21 year on wages paid to individuals physically present and working
22 within the eligible property for the construction, renovation, or
23 other improvement of eligible property that is an eligible activity
24 within a transformational brownfield plan. As used in this
25 subdivision, "wages" means that term as defined in section 3401 of
26 the internal revenue code of 1986, 26 USC 3401. To calculate the
27 amount of construction period tax capture revenues for a calendar
28 year under a transformational brownfield plan, the state treasurer
29 shall do all of the following:



1 (i) Require the owner or developer of the eligible property to
2 report the total taxable wages paid to individuals for the
3 construction, renovation, or other improvement of eligible property
4 that is an eligible activity within the transformational brownfield
5 plan. The wages reported under this subparagraph must exclude any
6 wages paid to employees of the owner or developer.

7 (ii) Multiply the amount under subparagraph (i) by the effective
8 rate as determined by the state treasurer at which the income tax
9 is levied on an individual in this state. The state treasurer shall
10 estimate the effective rate by taking into account the effect of
11 any exemptions, additions, subtractions, and credits allowable
12 under part 1 of the income tax act of 1967, 1967 PA 281, MCL 206.1
13 to 206.532. The state treasurer may require the owner or developer
14 to submit any information necessary for the calculation under this
15 subparagraph.

16 (iii) The wage information and other information required under
17 this subdivision must be provided to the department of treasury by
18 the owner or developer in a manner prescribed by the state
19 treasurer. The state treasurer may require the owner or developer
20 to provide a review or reconciliation of the wages by an
21 independent auditing firm.

22 (j) "Corrective action" means that term as defined in part 111
23 or part 213.

24 (k) "Department" means the department of environment, Great
25 Lakes, and energy.

26 (l) "Department specific activities" means baseline
27 environmental assessments, due care activities, response
28 activities, and other environmentally related actions that are
29 eligible activities and are identified as a part of a brownfield



plan that are in addition to the minimum due care activities required by part 201, including, but not limited to:

(i) Response activities that are more protective of the public health, safety, and welfare and the environment than required by section 20107a, 20114, or 21304c of the natural resources and environmental protection act, 1994 PA 451, MCL 324.20107a, 324.20114, and 324.21304c.

(ii) Removal and closure of underground storage tanks pursuant to part 211 or 213.

(iii) Disposal of solid waste, as defined in part 115 of the natural resources and environmental protection act, 1994 PA 451, MCL 324.11501 to 324.11587, from the eligible property, if the solid waste was not generated or accumulated by the authority or the developer.

(iv) Dust control related to construction activities.

(v) Removal and disposal of lake or river sediments exceeding part 201 criteria from, at, or related to an economic development project if the upland property is either a facility or would become a facility as a result of the deposition of dredged spoils.

(vi) Industrial cleaning.

(vii) Sheet piling and shoring necessary for the removal of materials exceeding part 201 criteria at projects requiring a permit pursuant to part 301, 303, or 325 of the natural resources and environmental protection act, 1994 PA 451, MCL 324.30101 to 324.30113, 324.30301 to 324.30328, and 324.32501 to 324.32515a.

(viii) Lead, mold, or asbestos abatement when lead, mold, or asbestos pose an imminent and significant threat to human health.

(ix) Environmental insurance.

(m) "Due care activities" means those response activities



1 identified as part of a brownfield plan that are necessary to allow
2 the owner or operator of an eligible property in the plan to comply
3 with the requirements of section 20107a or 21304c of the natural
4 resources and environmental protection act, 1994 PA 451, MCL
5 324.20107a and 324.21304c.

6 (n) "Economic opportunity zone" means 1 or more parcels of
7 property that meet all of the following:

8 (i) That together are 40 or more acres in size.

9 (ii) That contain or contained a manufacturing operation or an
10 enclosed mall that consists or consisted of 300,000 or more square
11 feet.

12 (iii) That are located in a municipality that is contiguous to a
13 qualified local governmental unit.

14 (o) "Eligible activities" or "eligible activity" means 1 or
15 more of the following:

16 (i) For all eligible properties, eligible activities include
17 all of the following:

18 (A) Department specific activities.

19 (B) Relocation of public buildings or operations for economic
20 development purposes.

21 (C) Reasonable costs of environmental insurance.

22 (D) Reasonable costs incurred to develop and prepare
23 brownfield plans, combined brownfield plans, or work plans for the
24 eligible property, including legal and consulting fees that are not
25 in the ordinary course of acquiring and developing real estate.

26 (E) Reasonable costs of brownfield plan and work plan
27 implementation, including, but not limited to, tracking and
28 reporting of data and plan compliance, including costs to
29 implement, monitor, and maintain compliance with the income and



1 price monitoring responsibilities associated with housing
2 development activities, and the reasonable costs incurred to
3 estimate and determine actual costs incurred, whether those costs
4 are incurred by a municipality, authority, or private developer.

5 (F) Demolition of structures or site improvements that are not
6 a response activity, including removal of manufactured debris
7 composed of discarded, unused, or unusable manufactured by-products
8 left on the site by a previous owner. The removal of the
9 manufactured by-products left on the site described in this sub-
10 subparagraph is not eligible for interest reimbursement under sub-
11 subparagraph (H).

12 (G) Lead, asbestos, or mold abatement.

13 (H) Except as otherwise provided in sub-subparagraph (F), the
14 repayment of principal of and interest on any obligation issued by
15 an authority to pay the costs of eligible activities attributable
16 to an eligible property.

17 (ii) For housing property located in a community that has
18 identified a specific housing need and has absorption data or job
19 growth data included in the brownfield plan, eligible activities
20 include all of the following:

21 (A) The activities described in subparagraph (i).

22 (B) Housing development activities.

23 (C) Infrastructure improvements that are necessary for housing
24 property and support housing development activities.

25 (D) Site preparation that is not a response activity and that
26 supports housing development activities.

27 (iii) For eligible properties located in a qualified local
28 governmental unit, or an economic opportunity zone, or that are a
29 former mill, eligible activities include all of the following:



1 (A) The activities described in subparagraph (i).

2 (B) Infrastructure improvements that directly benefit eligible
3 property.

4 (C) Site preparation that is not a response activity.

5 (iv) For eligible properties that are owned by or under the
6 control of a land bank fast track authority, or a municipality or
7 authority, eligible activities include all of the following:

8 (A) The eligible activities described in subparagraphs (i),
9 (ii), and (iii).

10 (B) Assistance to a land bank fast track authority in clearing
11 or quieting title to, or selling or otherwise conveying, property
12 owned by or under the control of a land bank fast track authority
13 or the acquisition of property by the land bank fast track
14 authority if the acquisition of the property is for economic
15 development purposes.

16 (C) Assistance to a municipality or authority in clearing or
17 quieting title to, or selling or otherwise conveying, property
18 owned by or under the control of a municipality or authority or the
19 acquisition of property by a qualified local governmental unit or
20 authority if the acquisition of the property is for economic
21 development purposes.

22 (v) For eligible activities on eligible property that is
23 included in a transformational brownfield plan, any demolition,
24 construction, restoration, alteration, renovation, or improvement
25 of buildings or site improvements on eligible property, including
26 infrastructure improvements that directly benefit eligible
27 property.

28 (vi) For eligible activities on eligible property that is a
29 qualified facility that is not located in a qualified local



1 governmental unit and that is a facility, functionally obsolete, or
2 blighted, the following additional activities:

3 (A) The activities described in subparagraph (i).

4 (B) Infrastructure improvements that directly benefit eligible
5 property.

6 (C) Site preparation that is not a response activity.

7 (p) "Eligible property" means either of the following:

8 (i) Except as otherwise provided in sub-subparagraph (G),
9 property for which eligible activities are identified under a
10 brownfield plan that was used or is currently used for commercial,
11 industrial, public, or residential purposes, including personal
12 property located on the property, or former dumps, landfills, and
13 other areas filled with nonnative material, to the extent included
14 in the brownfield plan, and that meets 1 or more of the following
15 conditions listed in sub-subparagraphs (A) to (F):

16 (A) Is in a qualified local governmental unit and is a
17 facility or a site or property as those terms are defined in part
18 213, historic resource, functionally obsolete, or blighted and
19 includes parcels that are adjacent or contiguous to that property
20 if the development of the adjacent and contiguous parcels is
21 estimated to increase the captured taxable value of that property.

22 (B) Is not in a qualified local governmental unit and is a
23 facility, historic resource, functionally obsolete, blighted, or a
24 site or property as those terms are defined in part 213, and
25 includes parcels that are adjacent or contiguous to that property
26 if the development of the adjacent and contiguous parcels is
27 estimated to increase the captured taxable value of that property.

28 (C) Is tax reverted property owned by or under the control of
29 a land bank fast track authority.



1 (D) Is a transit-oriented development or transit-oriented
2 property.

3 (E) Is located in a qualified local governmental unit and
4 contains a targeted redevelopment area.

5 (F) Is undeveloped property that was eligible property in a
6 previously approved brownfield plan abolished under section 14(8).

7 (G) Eligible property does not include qualified agricultural
8 property exempt under section 7ee of the general property tax act,
9 1893 PA 206, MCL 211.7ee, from the tax levied by a local school
10 district for school operating purposes to the extent provided under
11 section 1211 of the revised school code, 1976 PA 451, MCL 380.1211.

12 (ii) Housing property for which eligible activities are
13 identified under a brownfield plan implemented under section 13
14 only, including personal property located on the property, to the
15 extent included in the brownfield plan. Eligible property under
16 this subparagraph does not include housing property for which
17 eligible activities are identified under a transformational
18 brownfield plan implemented under section 13c. This subparagraph
19 does not prevent housing property for which eligible activities are
20 identified under a transformational brownfield plan implemented
21 under section 13c from qualifying as eligible property under
22 subparagraph (i) if the requirements under subparagraph (i) are met.

23 (q) "Environmental insurance" means liability insurance for
24 environmental contamination and cleanup that is not otherwise
25 required by state or federal law.

26 (r) "Facility" means that term as defined in part 201.

27 (s) "Fiscal year" means the fiscal year of the authority.

28 (t) "Former mill" means a former mill that has not been used
29 for industrial purposes for the immediately preceding 2 years, that



1 is not located in a qualified local governmental unit, that is a
2 facility or is a site or a property as those terms are defined in
3 part 213, functionally obsolete, or blighted, and that is located
4 within 15 miles of a river that is a federal superfund site listed
5 under the comprehensive environmental response, compensation and
6 liability act of 1980, 42 USC 9601 to 9675, and that is located in
7 a municipality with a population of less than 10,000.

8 (u) "Functionally obsolete" means that the property is unable
9 to be used to adequately perform the function for which it was
10 intended due to a substantial loss in value resulting from factors
11 such as overcapacity, changes in technology, deficiencies or
12 superadequacies in design, or other similar factors that affect the
13 property itself or the property's relationship with other
14 surrounding property.

15 (v) "Governing body" means the elected body having legislative
16 powers of a municipality creating an authority under this act.

17 (w) "Historic resource" means that term as defined in section
18 90a of the Michigan strategic fund act, 1984 PA 270, MCL 125.2090a.

19 (x) "Housing development activities" means 1 or more of the
20 following:

21 (i) Reimbursement provided to owners of rental housing units
22 for qualified rehabilitation.

23 (ii) Costs for infrastructure available for public use and
24 safety improvements necessary for a housing project.

25 (iii) Costs of demolition and renovation of existing buildings
26 and site preparation, to the extent necessary to accommodate an
27 income qualified purchaser household or income qualified renting
28 household.

29 (iv) Temporary household relocation costs for an income



1 qualified household for a period not to exceed 1 year.

2 (v) Acquisition cost for blighted or obsolete rental units, to
3 the extent the acquisition would promote rehabilitation or adaptive
4 reuse of the blighted or obsolete rental unit to accommodate an
5 income qualified purchaser household or income qualified renting
6 household.

7 (vi) Reimbursement provided to a developer to fill a financing
8 gap associated with the development of housing units priced for
9 income qualified households and to assist with costs related to
10 infrastructure improvements and site preparation that are not a
11 response activity and that are necessary for new housing
12 development for income qualified households on eligible property.

13 (y) "Housing property" means 1 or more of the following:

14 (i) A property on which 1 or more units of residential housing
15 are proposed to be constructed, rehabilitated, or otherwise
16 designed to be used as a dwelling.

17 (ii) One or more units of residential housing proposed to be
18 constructed or rehabilitated and located in a mixed-use project.

19 (z) "Income qualified household" means a person, a family, or
20 unrelated persons living together, whose annual household income is
21 not more than 120% of the area median income. As used in this
22 subdivision:

23 (i) "Area median income" means the median income for the area
24 as determined under section 8 of the United States housing act of
25 1937, 42 USC 1437f, adjusted for family size.

26 (ii) "Household income" means all income received by all
27 individuals who are not less than 24 years of age when the
28 household income is determined and who reside in a household while
29 members of the household.



1 (aa) "Income qualified purchaser household" means a purchaser
2 who is, or who is a member of, an income qualified household.

3 (bb) "Income qualified renting household" means a renter who
4 is, or who is a member of, an income qualified household.

5 (cc) "Income tax" means the tax levied and imposed under part
6 1 of the income tax act of 1967, 1967 PA 281, MCL 206.1 to 206.532.

7 (dd) "Income tax capture revenues" means, with respect to each
8 eligible property subject to a transformational brownfield plan,
9 funds equal to the amount for each tax year by which the aggregate
10 income tax from individuals residing within the eligible property
11 subject to a transformational brownfield plan exceeds the initial
12 income tax value. Subject to subparagraph (iii), the state treasurer
13 shall calculate annually the income tax capture revenues associated
14 with each transformational brownfield plan. In calculating income
15 tax capture revenues, the state treasurer shall subtract from the
16 aggregate amount of income tax credits under sections 255, 265,
17 266, 266a, and chapter 9 of the income tax act of 1967, 1967 PA
18 281, MCL 206.255, 206.265, 206.266, 206.266a, and 206.501 to
19 206.532. The state treasurer shall require the owner or developer
20 of the eligible property to provide to the department of treasury
21 all of the following information at the end of each calendar year,
22 including the year in which the resolution adding that eligible
23 property in the transformational brownfield plan is adopted:

24 (i) A list of addresses for all residential units, rental or
25 owner-occupied, within the eligible property.

26 (ii) Any other information that may be necessary to calculate
27 the income tax capture revenues. The information required under
28 this subdivision must be provided in a manner prescribed by the
29 state treasurer.



(iii) Notwithstanding anything to the contrary in this subdivision, instead of the reporting and calculation methods otherwise provided for, the owner or developer of a transformational brownfield project site may elect to utilize a safe harbor method of calculating income tax capture revenues. Under this safe harbor method, the Michigan strategic fund shall establish a safe harbor amount of annual income tax capture revenues for each eligible property when the Michigan strategic fund approves the transformational brownfield plan, and those amounts shall serve as the basis for the transmittal of income tax capture revenues to the owner or developer of the transformational project site under section 8a(4). The Michigan strategic fund shall establish the safe harbor amount for an eligible property by imputing a standard annual taxable income for households residing within the eligible property or portion of the eligible property. The safe harbor is effective only to the extent that the residential units within the eligible property or portion of the eligible property are actively leased or, in the case of units made available for sale, sold in an arms-length transaction. Imputations as to standard household taxable income may vary based on location and other relevant factors. The Michigan strategic fund may adjust the safe harbor amount for an eligible property, or portion of the eligible property, after the time of transformational brownfield plan approval as required to reflect changes in the transformational brownfield plan for the transformational project site that may occur after approval of the transformational brownfield plan, if those changes do not result in an aggregate increase in the level of income tax capture revenues from the amount initially established. Except as otherwise provided in this



1 subparagraph, the owner or developer of the transformational
2 project site may elect to utilize the safe harbor method of
3 accounting at any time before the first reimbursement of income tax
4 capture revenues under the transformational brownfield plan. For
5 any new project approved by the Michigan strategic fund board after
6 December 31, 2026, the owner or developer of the transformational
7 project site must elect to utilize the safe harbor method of
8 accounting before approval of the project by the Michigan strategic
9 fund board. An election to utilize the safe harbor method of
10 accounting, once made, cannot be rescinded. As used in this
11 subdivision, "Michigan strategic fund board" means the board of
12 directors of the Michigan strategic fund under section 5 of the
13 Michigan strategic fund act, 1984 PA 270, MCL 125.2005.

14 (ee) "Industrial cleaning" means cleaning or removal of
15 contaminants from within a structure necessary to achieve the
16 intended use of the property.

17 (ff) "Infrastructure improvements" means a street, road,
18 sidewalk, parking facility, pedestrian mall, alley, bridge, sewer,
19 sewage treatment plant, property designed to reduce, eliminate, or
20 prevent the spread of identified soil or groundwater contamination,
21 drainage system, waterway, waterline, water storage facility, rail
22 line, utility line or pipeline, transit-oriented development,
23 transit-oriented property, or other similar or related structure or
24 improvement, together with necessary easements for the structure or
25 improvement, owned or used by a public agency or functionally
26 connected to similar or supporting property owned or used by a
27 public agency, or designed and dedicated to use by, for the benefit
28 of, or for the protection of the health, welfare, or safety of the
29 public generally, whether or not used by a single business entity,



1 if any road, street, or bridge is continuously open to public
2 access and other property is located in public easements or rights-
3 of-way and sized to accommodate reasonably foreseeable development
4 of eligible property in adjoining areas. Infrastructure
5 improvements also include 1 or more of the following whether
6 publicly or privately owned or operated or located on public or
7 private property:

8 (i) Underground parking.

9 (ii) Multilevel parking structures.

10 (iii) Urban stormwater management systems.

11 (gg) "Initial income tax value" means, with respect to each
12 eligible property subject to a transformational brownfield plan,
13 the aggregate amount of income tax less credits under sections 255,
14 265, 266, 266a, and chapter 9 of the income tax act of 1967, 1967
15 PA 281, MCL 206.255, 206.265, 206.266, 206.266a, and 206.501 to
16 206.532, from individuals residing within the eligible property for
17 the base year specified in the resolution that adds the eligible
18 property in the transformational brownfield plan.

19 (hh) "Initial sales and use tax value" means, with respect to
20 each eligible property subject to a transformational brownfield
21 plan, the aggregate amount of sales tax and use tax collected from
22 persons located within the eligible property for the base year
23 specified in the resolution that adds the eligible property in the
24 transformational brownfield plan. For persons with multiple
25 business locations, the applicable amount of sales tax and use tax
26 for purposes of this act is only the sales tax and use tax
27 collections attributable to the business location within the
28 eligible property.

29 (ii) "Initial taxable value" means the taxable value of an



1 eligible property identified in and subject to a brownfield plan at
2 the time the resolution adding that eligible property in the
3 brownfield plan is adopted, as shown either by the most recent
4 assessment roll for which equalization has been completed at the
5 time the resolution is adopted or, if provided by the brownfield
6 plan, by the next assessment roll for which equalization will be
7 completed following the date the resolution adding that eligible
8 property in the brownfield plan is adopted. Property exempt from
9 taxation at the time the initial taxable value is determined is
10 included with the initial taxable value of zero. Property for which
11 a specific tax is paid in lieu of property tax is not considered
12 exempt from taxation. The state tax commission shall prescribe the
13 method for calculating the initial taxable value of property for
14 which a specific tax was paid in lieu of property tax. The initial
15 assessed value may be modified by lowering the initial assessed
16 value once during the term of the brownfield plan through an
17 amendment as provided in section 14 after the tax increment
18 financing plan fails to generate captured taxes for 3 consecutive
19 years due to declines in assessed value.

20 (jj) "Initial withholding tax value" means, with respect to
21 each eligible property subject to a transformational brownfield
22 plan, the amount of income tax withheld under chapter 17 of the
23 income tax act of 1967, 1967 PA 281, MCL 206.701 to 206.718, from
24 individuals employed within the eligible property for the base year
25 specified in the resolution that adds the eligible property to the
26 plan. The initial withholding tax value does not include
27 construction period tax capture revenues.

28 (kk) "Land bank fast track authority" means an authority
29 created under the land bank fast track act, 2003 PA 258, MCL



1 124.751 to 124.774.

2 (ll) "Local taxes" means all taxes levied other than taxes
3 levied for school operating purposes.

4 (mm) "Michigan state housing development authority" means the
5 Michigan state housing development authority created in section 21
6 of the state housing development authority act of 1966, 1966 PA
7 346, MCL 125.1421.

8 (nn) "Michigan strategic fund" means the Michigan strategic
9 fund created under the Michigan strategic fund act, 1984 PA 270,
10 MCL 125.2001 to 125.2094.

11 (oo) "Mixed-use" means a real estate project with planned
12 integration of some combination of retail, office, residential, or
13 hotel uses.

14 (pp) "Municipality" means all of the following:

15 (i) A city.

16 (ii) A village.

17 (iii) A township in those areas of the township that are outside
18 of a village.

19 (iv) A township in those areas of the township that are in a
20 village on the concurrence by resolution of the village in which
21 the zone would be located.

22 (v) A county.

23 (qq) "Owned by or under the control of" means that a land bank
24 fast track authority, a municipality, or a qualified local
25 governmental unit has 1 or more of the following:

26 (i) An ownership interest in the property.

27 (ii) A tax lien on the property.

28 (iii) A tax deed to the property.

29 (iv) A contract with this state or a political subdivision of



1 this state to enforce a lien on the property.

2 (v) A right to collect delinquent taxes, penalties, or
3 interest on the property.

4 (vi) The ability to exercise its authority over the property.

5 (rr) "Part 111", "part 201", "part 211", or "part 213" means
6 that part as described as follows:

7 (i) Part 111 of the natural resources and environmental
8 protection act, 1994 PA 451, MCL 324.11101 to 324.11153.

9 (ii) Part 201 of the natural resources and environmental
10 protection act, 1994 PA 451, MCL 324.20101 to 324.20142.

11 (iii) Part 211 of the natural resources and environmental
12 protection act, 1994 PA 451, MCL 324.21101 to 324.21113.

13 (iv) Part 213 of the natural resources and environmental
14 protection act, 1994 PA 451, MCL 324.21301a to 324.21334.

15 (ss) "Previously developed property" means property that was
16 part of an existing developed residential, commercial, or
17 industrial zone and contained a structure serviced by utilities, or
18 former dumps, landfills, and other areas filled with nonnative
19 material.

20 (tt) "Qualified facility" means a landfill facility area of 15
21 or more contiguous acres that is located in a city and that
22 contains, contained, or is adjacent to a landfill, a material
23 recycling facility, or an asphalt plant that is no longer in
24 operation.

25 (uu) "Qualified local governmental unit" means that term as
26 defined in the obsolete property rehabilitation act, 2000 PA 146,
27 MCL 125.2781 to 125.2797.

28 (vv) "Qualified rehabilitation" means rehabilitation of
29 existing structures that is necessary to make a housing unit



1 suitable for sale to an income qualified purchaser household or
2 rent to an income qualified renting household. Qualified
3 rehabilitation also includes proposed rehabilitation that will
4 bring the structure into conformance with minimum local building
5 code standards for occupancy or improve the livability of the units
6 while meeting minimum local building code standards. As used in
7 this subsection, "existing structures" includes any structure
8 designed to be used as a dwelling.

9 (ww) "Qualified taxpayer" means that term as defined in
10 sections 38d and 38g of former 1975 PA 228, or section 437 of the
11 Michigan business tax act, 2007 PA 36, MCL 208.1437, or a recipient
12 of a community revitalization incentive as described in section 90a
13 of the Michigan strategic fund act, 1984 PA 270, MCL 125.2090a.

14 (xx) "Release" means that term as defined in part 201 or part
15 213.

16 (yy) "Response activity" means either of the following:

17 (i) Response activity as that term is defined in part 201.

18 (ii) Corrective action.

19 (zz) "Sales tax" means the tax levied under the general sales
20 tax act, 1933 PA 167, MCL 205.51 to 205.78.

21 (aaa) "Sales and use tax capture revenues" means, with respect
22 to each eligible property subject to a transformational brownfield
23 plan, the amount for each calendar year by which the sales tax and
24 use tax collected from persons within the eligible property exceeds
25 the initial sales and use tax value. For persons with multiple
26 business locations, the applicable amount of sales tax and use tax
27 for purposes of this act is only the sales tax and use tax
28 collections attributable to the business location within the
29 eligible property. To calculate sales and use tax capture revenues



for a calendar year under a transformational brownfield plan, the state treasurer or the Michigan strategic fund shall do all of the following:

(i) The state treasurer shall develop methods and processes that are necessary for each applicable person within the eligible property to report the amount of sales and use tax from that location.

(ii) The Michigan strategic fund shall include all of the following provisions in the development or reimbursement agreement for any transformational brownfield plan that utilizes sales and use tax capture revenues:

(A) That the owner or developer of the eligible property shall require each applicable person occupying the eligible property to comply with the reporting requirements under this section through a contract requirement, lease requirement, or other similar means.

(B) That reimbursement of sales and use tax capture revenues is limited to amounts that are reported in accordance with this section, and this state has no obligation with respect to sales and use tax capture revenues that are not reported or paid.

(bbb) "Specific taxes" means all of the following:

(i) A tax levied under any of the following:

(A) 1974 PA 198, MCL 207.551 to 207.572.

(B) The commercial redevelopment act, 1978 PA 255, MCL 207.651 to 207.668.

(C) The enterprise zone act, 1985 PA 224, MCL 125.2101 to 125.2123.

(D) 1953 PA 189, MCL 211.181 to 211.182.

(E) The technology park development act, 1984 PA 385, MCL 207.701 to 207.718.



1 (F) The obsolete property rehabilitation act, 2000 PA 146, MCL
2 125.2781 to 125.2797.

3 (G) The neighborhood enterprise zone act, 1992 PA 147, MCL
4 207.771 to 207.786.

5 (H) The commercial rehabilitation act, 2005 PA 210, MCL
6 207.841 to 207.856.

7 (I) The attainable housing facilities act, 2022 PA 236, MCL
8 207.901 to 207.916.

9 (J) The residential housing facilities act, 2022 PA 237, MCL
10 207.951 to 207.966.

11 (ii) That portion of the tax levied under the tax reverted
12 clean title act, 2003 PA 260, MCL 211.1021 to 211.1025a, that is
13 not required to be distributed to a land bank fast track authority.

14 (ccc) "State brownfield redevelopment fund" means the state
15 brownfield redevelopment fund created in section 8a.

16 (ddd) "Targeted redevelopment area" means not fewer than 40
17 and not more than 500 contiguous parcels of real property located
18 in a qualified local governmental unit and designated as a targeted
19 redevelopment area by resolution of the governing body and approved
20 by the Michigan strategic fund. A qualified local governmental unit
21 is limited to designating no more than 2 targeted redevelopment
22 areas for the purposes of this section in a calendar year. The
23 Michigan strategic fund may approve no more than 5 targeted
24 redevelopment areas for the purposes of this section in a calendar
25 year.

26 (eee) "Tax increment revenues" means the amount of ad valorem
27 property taxes and specific taxes attributable to the application
28 of the levy of all taxing jurisdictions on the captured taxable
29 value of each parcel of eligible property subject to a brownfield



1 plan and personal property located on that property, regardless of
2 whether those taxes began to be levied after the brownfield plan
3 was adopted. Tax increment revenues also include the amount of any
4 payment in lieu of taxes under section 15a(3) of the state housing
5 development authority act of 1966, 1966 PA 346, MCL 125.1415a, paid
6 on an eligible property subject to a brownfield plan, less the
7 amount of property taxes levied on the eligible property subject to
8 the brownfield plan for the year the eligible property became
9 subject to the brownfield plan. Tax increment revenues do not
10 include any of the following:

11 (i) Ad valorem property taxes specifically levied for the
12 payment of principal of and interest on either obligations approved
13 by the electors or obligations pledging the unlimited taxing power
14 of the local governmental unit, and specific taxes attributable to
15 those ad valorem property taxes.

16 (ii) For tax increment revenues attributable to eligible
17 property, the amount of ad valorem property taxes or specific taxes
18 captured by a downtown development authority under part 2 of the
19 recodified tax increment financing act, 2018 PA 57, MCL 125.4201 to
20 125.4230, tax increment finance authority under part 3 of the
21 recodified tax increment financing act, 2018 PA 57, MCL 125.4301 to
22 125.4329, corridor improvement authority under part 6 of the
23 recodified tax increment financing act, 2018 PA 57, MCL 125.4602 to
24 125.4629, or local development finance authority under part 4 of
25 the recodified tax increment financing act, 2018 PA 57, MCL
26 125.4401 to 125.4420, if those taxes were captured by these other
27 authorities on the date that eligible property became subject to a
28 brownfield plan under this act, unless these other authorities
29 agree to forgo or transfer their taxes in support of the brownfield



1 plan.

2 (iii) Ad valorem property taxes levied under 1 or more of the
3 following or specific taxes attributable to those ad valorem
4 property taxes:

5 (A) The zoological authorities act, 2008 PA 49, MCL 123.1161
6 to 123.1183.

7 (B) The art institute authorities act, 2010 PA 296, MCL
8 123.1201 to 123.1229.

9 **(C) The history museum authorities act.**

10 (fff) "Taxable value" means the value determined under section
11 27a of the general property tax act, 1893 PA 206, MCL 211.27a.

12 (ggg) "Taxes levied for school operating purposes" means all
13 of the following:

14 (i) The taxes levied by a local school district for operating
15 purposes.

16 (ii) The taxes levied under the state education tax act, 1993
17 PA 331, MCL 211.901 to 211.906.

18 (iii) That portion of specific taxes attributable to taxes
19 described under subparagraphs (i) and (ii).

20 (hhh) "Transformational brownfield plan" means a brownfield
21 plan that meets the requirements of section 13c and is adopted
22 under section 14a and, as designated by resolution of the governing
23 body and approved by the Michigan strategic fund, will have a
24 transformational impact on local economic development and community
25 revitalization based on the extent of brownfield redevelopment and
26 growth in population, commercial activity, and employment that will
27 result from the plan. To be designated a transformational
28 brownfield plan, a transformational brownfield plan under this
29 subdivision must be for mixed-use development unless waived by the



Michigan strategic fund as provided under section 14a(26) and must be expected to result in the following levels of capital investment:

(i) In a municipality that is not a county and that has a population of not less than 600,000, \$500,000,000.00.

(ii) In a municipality that is not a county and that has a population of not less than 150,000 and not more than 599,999, \$100,000,000.00.

(iii) In a municipality that is not a county and that has a population of not less than 100,000 and not more than 149,999, \$75,000,000.00.

(iv) In a municipality that is not a county and that has a population of not less than 50,000 and not more than 99,999, \$50,000,000.00.

(v) In a municipality that is not a county and that has a population of not less than 25,000 and not more than 49,999, \$25,000,000.00.

(vi) In a municipality that is not a county and that has a population of less than 25,000, \$15,000,000.00.

(iii) "Transit-oriented development" means infrastructure improvements that are located within 1/2 mile of a transit station or transit-oriented property that promotes transit ridership or passenger rail use as determined by the board and approved by the municipality in which it is located.

(jjj) "Transit-oriented property" means property that houses a transit station in a manner that promotes transit ridership or passenger rail use.

(kkk) "Use tax" means the tax levied under the use tax act, 1937 PA 94, MCL 205.91 to 205.111, including both the local



1 community stabilization share and the state share as those terms
2 are defined in section 2c of the use tax act, 1937 PA 94, MCL
3 205.92c.

4 (III) "Withholding-disqualified employee" means an employee,
5 other than a retail employee or hospitality employee, who meets
6 both of the following conditions:

7 (i) Is employed by an employer that employs more than 50
8 employees in this state or that is receiving an economic incentive
9 from the Michigan strategic fund.

10 (ii) Is employed in a position that is not a new job. As used
11 in this subdivision:

12 (A) "Hospitality employee" means an individual employed at a
13 hospitality establishment in a position that is responsible for
14 ensuring a positive guest experience.

15 (B) "Hospitality establishment" means a place of business that
16 provides 1 or more of the following services to guests:

17 (I) Accommodation services, including, but not limited to,
18 hotels, motels, resorts, and bed and breakfast establishments.

19 (II) Food and beverage services, including, but not limited
20 to, restaurants, cafes, bars, catering services, and nightclubs.

21 (C) "New job" means a job created by the employer within the
22 eligible property that is in addition to the jobs the employer
23 maintained in this state before the employer commenced occupancy
24 within the eligible property. New job does not include either of
25 the following:

26 (I) A position relocated from another location in this state
27 to within the eligible property.

28 (II) A position at another location in this state that was
29 terminated or eliminated and rehired within the eligible property.



1 (D) "Retail employee" means an individual employed at a retail
2 establishment.

3 (E) "Retail establishment" means a place of business open to
4 the general public for the sale of goods or services to the final
5 consumer.

6 (mmm) "Withholding-disqualified entity" means an entity that
7 relocates its facility from another location in this state to
8 within the eligible property and that does not do 1 of the
9 following:

10 (i) Expand the size of its relocated facility.

11 (ii) Employ more individuals after the relocation than it did
12 before the relocation.

13 (iii) Have another valid business reason for the relocation as
14 documented by a third-party analysis.

15 (nnn) "Withholding tax capture revenues" means, with respect
16 to each eligible property subject to a transformational brownfield
17 plan, the amount for each calendar year by which the income tax
18 withheld under chapter 17 of the income tax act of 1967, 1967 PA
19 281, MCL 206.701 to 206.718, from individuals employed within the
20 eligible property exceeds the initial withholding tax value.

21 Withholding tax capture revenues do not include income tax from
22 individuals domiciled within the eligible property or construction
23 period tax capture revenues. For transformational brownfield plans
24 approved after ~~the effective date of the amendatory act that added~~
25 ~~section 16a,~~ **July 22, 2026**, withholding tax capture revenues do not
26 include income tax withholdings attributable to withholding-
27 disqualified employees or employees of a withholding-disqualified
28 entity. To calculate withholding tax capture revenues for a
29 calendar year under a transformational brownfield plan, the state



1 treasurer or the Michigan strategic fund shall do all of the
2 following:

3 (i) The state treasurer shall require the owner or developer of
4 the eligible property to provide the department of treasury with
5 notice not more than 10 days from the date an employer commences or
6 terminates occupancy within the eligible property. As used in this
7 subdivision, "employer" means that term as defined in section 8 of
8 the income tax act of 1967, 1967 PA 281, MCL 206.8.

9 (ii) The state treasurer shall develop methods and processes
10 that are necessary for each employer occupying the eligible
11 property to report both of the following:

12 (A) The amount of withholding under chapter 17 of the income
13 tax act of 1967, 1967 PA 281, MCL 206.701 to 206.718, from
14 individuals employed within the eligible property.

15 (B) For transformational brownfield plans approved after ~~the~~
16 ~~effective date of the amendatory act that added section 16a, July~~
17 **22, 2026**, the information necessary to determine whether
18 individuals employed within the eligible property are withholding-
19 disqualified employees or employees of a withholding-disqualified
20 entity. The methods and processes developed for an employer to
21 report the information under this sub-subparagraph may require an
22 employer to annually certify that employees within the eligible
23 property are not withholding-disqualified employees and that the
24 employer is not a withholding-disqualified entity.

25 (iii) The Michigan strategic fund shall include the following
26 provisions in the development or reimbursement agreement for any
27 transformational brownfield plan that utilizes withholding tax
28 capture revenues:

29 (A) That the owner or developer of the eligible property shall



1 require each employer occupying the eligible property to comply
2 with the reporting requirements under this section through a
3 contract requirement, lease requirement, or other similar means.

4 (B) That reimbursement of withholding tax capture revenues is
5 limited to amounts that are reported in accordance with chapter 17
6 of the income tax act of 1967, 1967 PA 281, MCL 206.701 to 206.718,
7 and this state has no obligation with respect to withholding tax
8 capture revenues that are not reported or paid.

9 (iv) Except as otherwise provided in this subparagraph and
10 notwithstanding anything to the contrary in this subdivision,
11 instead of the reporting and calculation methods otherwise provided
12 for, the owner or developer of a transformational project site may
13 elect to utilize a safe harbor method of calculating withholding
14 tax capture revenues. Use of the safe harbor method does not
15 eliminate a reporting requirement described in subparagraph (ii) (B)
16 or section 14a(7)(b). Under the safe harbor method, the Michigan
17 strategic fund shall establish a safe harbor amount of annual
18 withholding tax capture revenues for each eligible property when
19 the Michigan strategic fund approves the transformational
20 brownfield plan, and, except as otherwise provided in this
21 subparagraph, those amounts shall serve as the basis for the
22 transmittal of withholding tax capture revenues to the owner or
23 developer of the transformational project site under section 8a(4).
24 The Michigan strategic fund shall establish the safe harbor amount
25 for an eligible property by imputing a standard level of employee
26 occupancy that corresponds to the size and use of the eligible
27 property or portion of the eligible property and a safe harbor
28 average annual taxable wage for the individuals employed within the
29 eligible property or portion of the eligible property. The safe



1 harbor is effective only to the extent the eligible property or
2 portion of the eligible property is actively occupied, as evidenced
3 by the existence of a binding lease agreement or similar
4 instrument. Imputations as to occupancy and wages may vary between
5 projects based on location, the type and use of the eligible
6 property, and other relevant factors. The Michigan strategic fund
7 may adjust the safe harbor amount for an eligible property, or
8 portion of the eligible property, after the time of plan approval
9 as required to reflect changes in the transformational brownfield
10 plan for the transformational project site that may occur after
11 approval of the transformational brownfield plan, if those changes
12 do not result in an aggregate increase in the level of withholding
13 tax capture revenues from the amount initially established. The
14 Michigan strategic fund may adjust the safe harbor amount for an
15 eligible property, or portion of the eligible property, after the
16 time of plan approval as required to account for withholding-
17 disqualified employees, if the number of withholding-disqualified
18 employees exceeds the amount estimated in the initial safe harbor
19 calculation. Except as otherwise provided in this subparagraph, the
20 owner or developer of the transformational project site may elect
21 to utilize the safe harbor method of accounting at any time before
22 the first reimbursement of withholding tax capture revenues under
23 the plan. For any new project approved by the Michigan strategic
24 fund board after December 31, 2026, the owner or developer of the
25 transformational project site must elect to utilize the safe harbor
26 method of accounting before approval of the project by the Michigan
27 strategic fund board. An election to utilize the safe harbor method
28 of accounting, once made, cannot be rescinded for projects approved
29 on or before December 31, 2026, without approval by the Michigan



1 strategic fund. As used in this subdivision, "Michigan strategic
2 fund board" means the board of directors of the Michigan strategic
3 fund under section 5 of the Michigan strategic fund act, 1984 PA
4 270, MCL 125.2005.

5 (ooo) "Work plan" means a plan that describes each individual
6 activity to be conducted to complete eligible activities and the
7 associated costs of each individual activity.

8 (ppp) "Zone" means, for an authority established before June
9 6, 2000, a brownfield redevelopment zone designated under this act.

10 Enacting section 1. This amendatory act does not take effect
11 unless all of the following bills of the 103rd Legislature are
12 enacted into law:

13 (a) Senate Bill No. 1139.

14 (b) Senate Bill No. 1141.

